Microeconomics
Course Code: Hum 2101

Lecture 6:Market Structure

Market

Market generally means a place or a geographical area, where buyers with money and sellers with their goods meet to exchange goods for money.

In economics, the Market means a social system through which the sellers and buyers of a commodity or a service (or a group of commodities and services) can interact with each other.

Characteristics of a Market

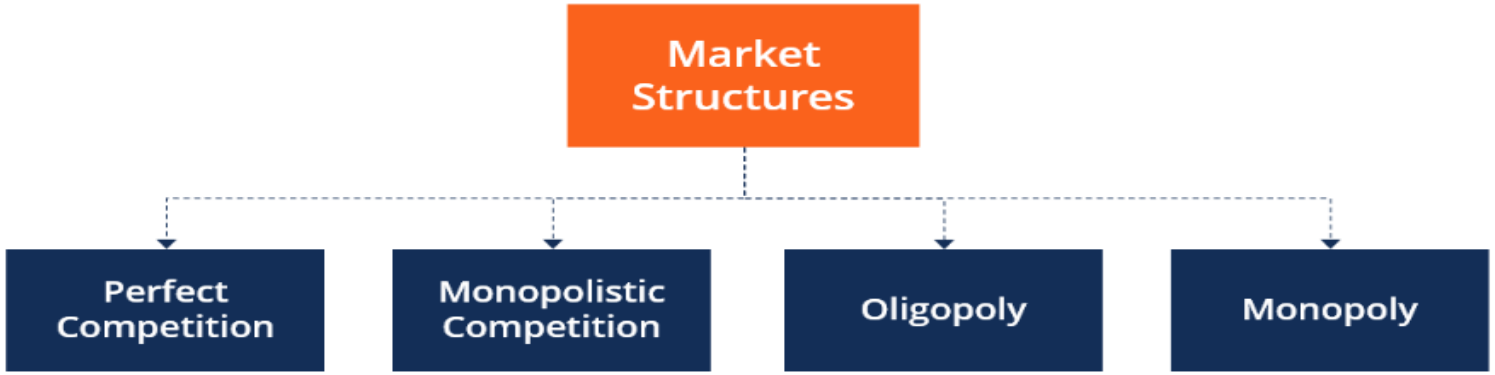
- Existence of buyers and sellers of the commodity.
- The establishment of contact between the buyers and sellers. Distance is of no consideration if buyers and sellers could contact each other through the available communication system like telephone, agents, letter correspondence, and the Internet.
- Buyers and sellers deal with the same commodity or variety. Since the market in economics is identified on the basis of the commodity, the similarity of the product is very essential.
- There should be a price for the commodity bought and sold in the market.
- The market differs from one another due to differences in the number of buyers and sellers, nature of the product, influence over price, availability of information, conditions of supply, etc.

Determinants of market structure

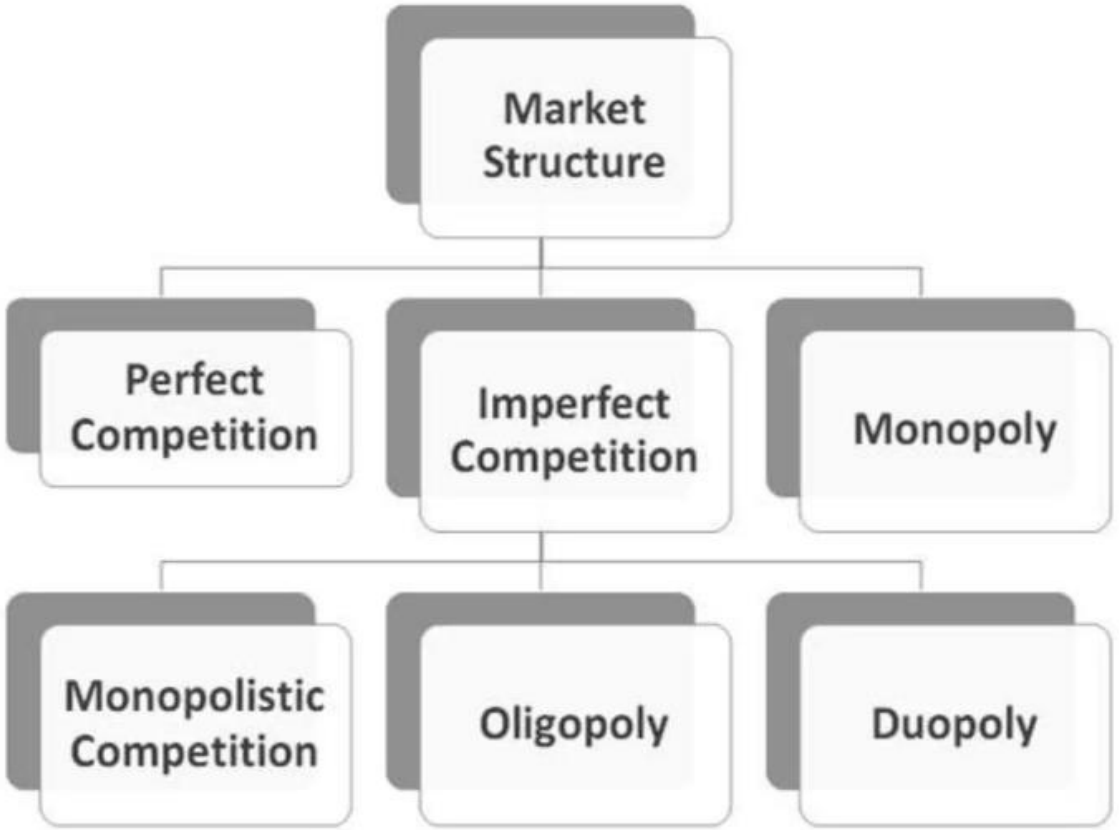
- Freedom of entry and exit
- Nature of the product
- Control over supply/output
- Control over price
- Barriers to entry

Economists discuss four broad categories of market structure, they are:

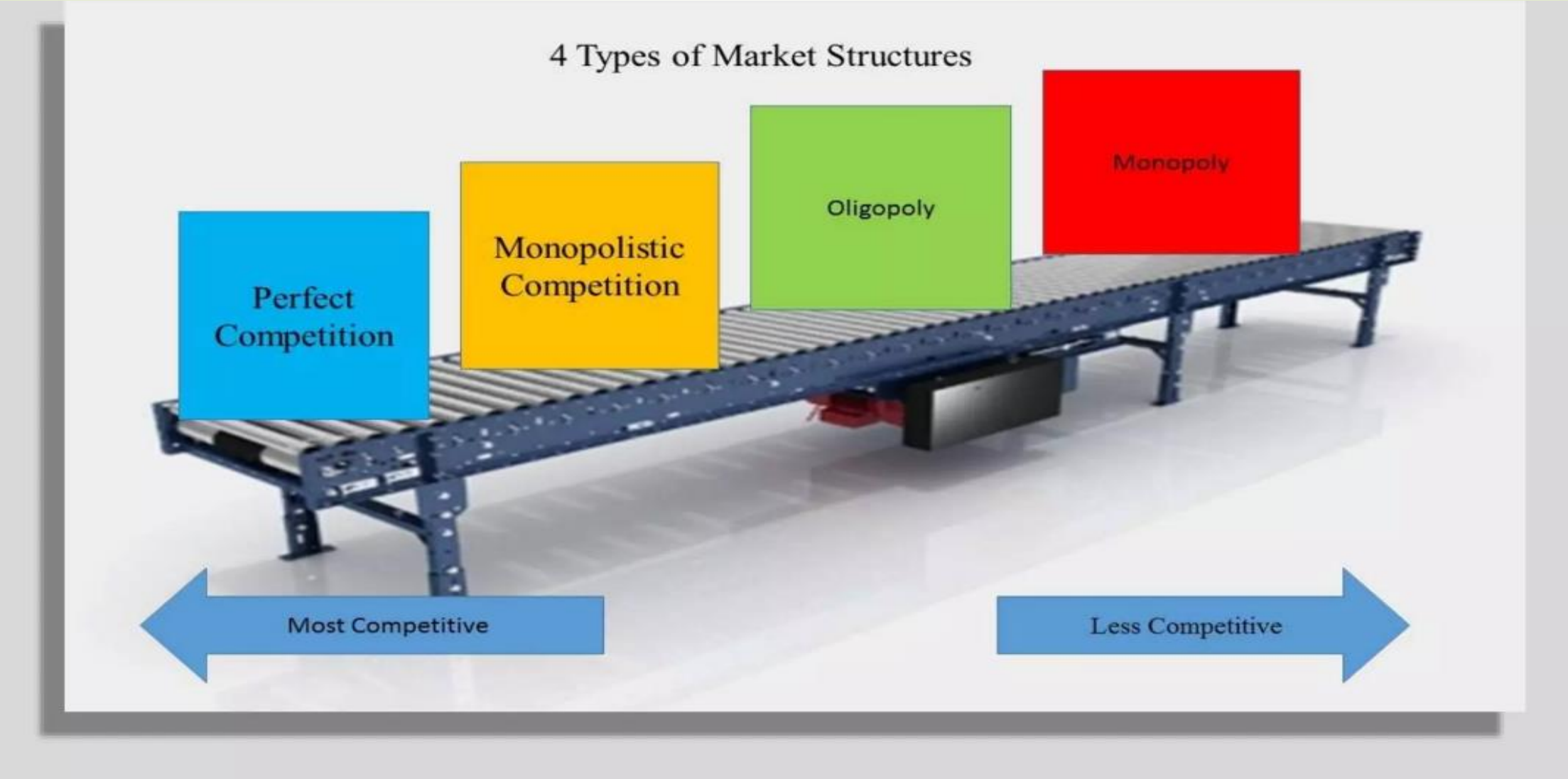
- Perfect Competition
- Monopoly
- Monopolistic Competition
- Oligopoly



Market Structure



Market Structure



Perfect Competition

Perfect competition is a market situation where there are infinite numbers of sellers that no one is big enough to have any appreciable influence over market price.

Perfect Competition

Characteristics of Perfect Competition:

1) Large number of buyers and sellers:

There are a large number of buyers and sellers in a perfectly competitive market neither a single buyer nor a single seller can influence the price.

The price is determined by market forces namely the demand for and the supply of the product. There will be uniform prices in the market. Sellers accept this price and adjust the quantity produced to maximize their profit.

Thus, sellers in the perfectly competitive market are price-takers and quantity adjusters.

Perfect Competition

2) Homogeneous Product:

The products produced by all the firms in the perfectly competitive market must be homogeneous and identical in all respects i.e. the products in the market are the same in quantity, size, taste, etc. The products of different firms are perfect substitutes.

3) Perfect knowledge of market conditions:

Both buyers and sellers are fully aware of the current price in the market. Therefore the sellers will not offer a high price and the buyers will not accept a price less than the one prevailing in the market.

Perfect Competition

4) Free Entry and Free Exit:

There must be complete freedom for the entry of new firms or the exit of the existing firms from the industry. When the existing firms are earning super-normal profits, new firms enter the market. When there is a loss in the industry, some firms leave the industry.

5) Perfect mobility of factors of production :

The factors of production should be free to move from one use to another or from one industry to another easily to get better remuneration.

The assumption of perfect mobility of factors is essential to fulfill the first condition namely a large number of producers in the market.

Perfect Competition

6) Absence of transport cost:

In a perfectly competitive market, it is assumed that there are no transport costs. Under perfect competition, a commodity is sold at a uniform price throughout the market. If transport cost is incurred, the firms nearer to the market will charge a low price than the firms far away. Hence it is assumed that there is no transport cost.

7) Absence of Government or artificial restrictions or collisions:

There are no government controls or restrictions on supply, pricing, etc. There is also no collusion among buyers or sellers. The price in a perfectly competitive market is free to change in response to changes in demand and supply conditions

Perfect Competition

Advantages of Perfect Competition-

1. It discourages customer exploitation
2. It creates an active business environment
3. There are no restrictions to enter or exit the market
4. Customers get high-quality products at reasonable price
5. Producers focus on maximum utilization of resources to improve efficiency
6. It requires less advertising and publicity budget

Perfect Competition

Disadvantages of Perfect Competition-

1. It is difficult for small traders to sustain themselves because of high competition
2. It lacks product differentiation
3. Firms cannot enjoy the benefit of economies of scale
4. In this market, the profit margin is very low. So producers cannot make sufficient investments for research and development purposes.
5. Customers get a limited choice

Monopoly

Monopoly is a market structure in which there is a single seller, there are no close substitutes for the commodity it produces and there are barriers to entry.

Monopoly

Characteristics of Monopoly:

1. Single Seller:

There is only one seller; he can control either price or supply of his product. But he cannot control demand for the product, as there are many buyers.

2. No close Substitutes:

There are no close substitutes for the product. The buyers have no alternatives or choices. Either they have to buy the product or go without it.

Monopoly

3. Price:

The monopolist has control over the supply so as to increase the price. Sometimes he may adopt price discrimination. He may fix different prices for different sets of consumers. He is a price-maker, not a price-taker.

4. No Entry:

There is no freedom for other producers to enter the market as the monopolist is enjoying monopoly power. There are strong barriers for new firms to enter. There are legal, technological, economic, and natural obstacles, which may block the entry of new producers. He uses patent rights.

5. Firm and Industry:

Under a monopoly, there is no difference between a firm and an industry. As there is only one firm, that single firm constitutes the whole industry.

Monopoly

Advantages of Monopoly:

1. Production: Monopoly firms have large-scale production possibilities. This will result in the reduction of costs of production. Output can be sold at low prices. This is beneficial to the consumers.
2. Resources: Monopoly firms have vast financial resources which could be used for research & development.
3. Merger: There are a number of weak firms in an industry. These firms can combine together in the form of a monopoly to meet competition. In such a case, the market can be expanded.

Monopoly

Disadvantages of Monopoly

1. High Price: A monopolist always charges a high price, which is higher than the competitive price. Thus a monopolist exploits the consumers.
2. Maximum Profit: A monopolist is interested in getting maximum profit. He may restrict the output and raise prices. Thus, he creates artificial scarcity for his product.
3. Price Differentiation: A monopolist often charges different prices for the same product from different consumers.
4. Self-interest: A monopolist uses large-scale production and huge resources to promote his own selfish interest. He may adopt wrong practices to establish absolute monopoly power.
5. Not following the Socialist or Mixed Economy Concept: In a country dominated by monopolies, wealth is concentrated in the hands of a few. It will lead to inequality of income.

Monopolistic Competition

Monopolistic competition, as the name itself implies, is a blending of monopoly and competition. Monopolistic competition refers to the market situation in which a large number of sellers produce goods that are close substitutes for one another. The products are similar but not identical.

The particular brand of the product will have a group of loyal consumers. In this respect, each firm will have some monopoly, and at the same time, the firm has to compete in the market with the other firms as they produce a fair substitute.

The following are examples of monopolistic competition in the Bangladesh context.

I. Shampoo - Sun Silk, Clinic Plus, Ponds, Head and Shoulder, Pantene, Vatika, etc.

II. Tooth Paste - Colgate, Close-up, Promise, Pepsodent, etc.

Monopolistic Competition

Features of Monopolistic Competition:

1. Large number of sellers and buyers
2. Product differentiation – Closely related products
3. Non-Price Competition – Spends large amounts of money on advertisements keeping the product prices unchanged.
4. Free entry and Free exit
5. Independent price policy

Oligopoly

Oligopoly refers to a form of imperfect competition where there will be only a few sellers producing either homogenous or differentiated products.

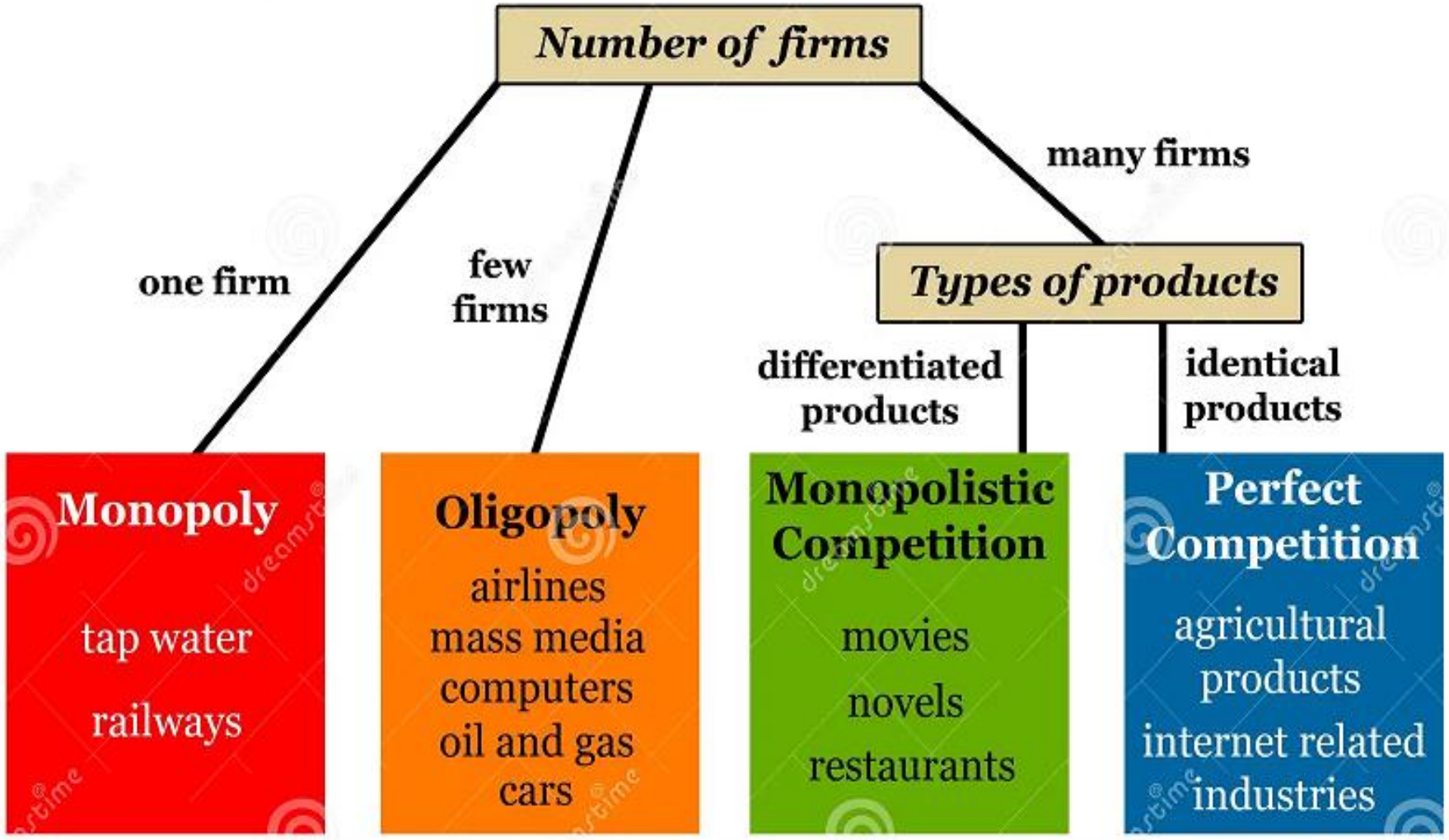
The numbers of firms are so small that every seller is affected by the activities of the others.

Oligopoly

Characteristics of Oligopoly:

- Few Sellers
- Control over supply
- Inter-Dependence of firms
- Conflicting attitudes of firms
- Advertising and selling cost
- Price rigidity
- Group behavior
- Intense competition

Market Structures

Features	Perfect Competition	Monopolistic Competition	Oligopoly	Monopoly
No Of Producers (Sellers)	Large No Of Producers	Large No Of Producers	Few Large Producers	Only One Producer
Product Features	Identical / Non-Differentiated	Highly Similar Highly Substitutable But Not Identical	Differentiated	Unique No Substitutes
Industry Entry	Easy Industry Entry & Exit	Easy Industry Entry & Exit	High Barriers to Entry But Not Impossible	Very High Barriers to Entry Nearly Impossible To Entry/Exit
Competition	High	High	Competitors Act In A Collaborative Manner (Mutual Interdependent)	No Competition / Low
Market Power of Individual Firm (Ability to Control the Price)	None	Has Low Control Over Price	High Market Power Can Influence The Price With Collaborative Manner	Very High Has the Complete Control Over Price Control

The four types of Market Structure